A Mini Project Report on

AI-Powered Business Finance and Inventory Analysis System

Finance Management · Inventory Analytics · Demand Forecasting · Expense Anomaly Detection

Submitted in partial fulfilment of the requirements of

SEWDL Lab

TY B.Tech — Information Technology, Semester V

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CERTIFICATE

This is to certify that the mini project entitled

“AI-Powered Business Finance and Inventory Analysis System”

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ABSTRACT

Small and medium enterprises (SMEs) usually keep sales, expenses and stock in separate registers or spreadsheets. As a result the owner cannot see at a glance whether the business is profitable, why cash is short in a month that shows a profit, which products are about to run out, or which expenses are unusual. This project presents the **AI-Powered Business Finance and Inventory Analysis System**, a web-based business-intelligence platform that brings these views together in one place.

The system is built with Python and Flask on a MySQL database, with an automatic SQLite fallback so that it can always be demonstrated. A demo dataset covering twelve months (October 2025 – September 2026) is generated deterministically: 24 products in 8 categories, 20 customers, 6 staff, 4,828 sales orders with 9,448 order lines and 253 expenses in 8 categories. An analytics engine computes revenue, cost of goods sold, gross and net profit, margins, cash inflow and outflow, inventory value, stock status and sales performance directly from the database.

Four intelligent features are implemented on top of these analytics: (1) **demand forecasting** that fits a scikit-learn linear-regression trend on seasonally adjusted monthly sales and recommends stock levels with a safety buffer; (2) **expense anomaly detection** using a robust (median / MAD) Z-score and month-over-month spike rules; (3) a deterministic **Financial Health Score** out of 100 built from five measured factors; and (4) a rule-based **AI recommendation engine** that turns these results into prioritised actions. A customer panel allows customers to register, browse products and place orders, which immediately update stock and analytics.

On the demo data the system reports revenue of ₹2.07 crore, net profit of ₹25.59 lakh (12.3% net margin), a Financial Health Score of 76/100, seven products at or below their minimum stock and four planted unusual expenses, all of which are detected. The average back-test accuracy of the demand forecast is 73% across the 24 products.

Keywords: business intelligence, SME finance, inventory management, demand forecasting, anomaly detection, robust Z-score, financial health score, Flask, MySQL, scikit-learn.

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1. Introduction

1.1 Background

Every business records three kinds of facts: what it sells, what it spends and what it holds in stock. Large companies use ERP and business-intelligence suites to combine these facts, but most SMEs in India still rely on bill books, a separate accounting package and spreadsheets for stock. The data exists, but it is not connected, so the owner has to calculate profit, cash position and re-order needs manually, usually at the end of the month when it is too late to act.

1.2 Motivation

The original version of this project, “Smart Retail Analytics”, was an e-commerce storefront with a small admin dashboard and only ten sample orders. We transformed it into a decision-support system for the business owner. The motivation was to answer practical questions directly from the data: Is the business healthy? Why did cash fall in a profitable month? Which products will run out next month? Which expenses look wrong? What should be done first?

1.3 Scope of the Work

- Finance: revenue, cost of goods sold (COGS), gross profit, operating expenses, net profit, margins, growth and cash flow.
- Expenses: recording, categorising, filtering, CSV export and automatic detection of unusual expenses.
- Inventory: stock levels, minimum levels, inventory value, stock status, low-stock and out-of-stock alerts, restocking.
- Sales: top-selling and slow-moving products, category performance and demand trends.
- Intelligence: demand forecasting, a Financial Health Score and AI business recommendations.
- Customer panel: registration, product catalogue, cart, checkout and order tracking, with staff-side order management.

1.4 Organisation of the Report

Chapter 2 states the problem and objectives, Chapter 3 reviews existing approaches, and Chapter 4 lists the requirements. Chapter 5 describes the proposed system and its architecture, and Chapter 6 presents the UML and design diagrams. Chapter 7 covers the database and dataset, Chapter 8 the analytics and AI methodology, and Chapter 9 the implemented modules. Chapters 10 and 11 cover testing and results, and Chapter 12 concludes with limitations and future scope.

2. Problem Statement and Objectives

Problem statement: *to design and implement a web-based system that combines the sales, expense and inventory records of a small or medium business, computes its financial and inventory position automatically, and uses forecasting, anomaly detection and rule-based reasoning to tell the owner what needs attention.*

The objectives of the project are:

1. To design a normalised relational database (MySQL) for products, customers, orders, order items, expenses, staff and salaries, and to populate it with twelve months of realistic demo data.
2. To compute finance metrics — revenue, COGS, gross profit, operating expenses, net profit, margins, growth and cash flow — directly from transactional data.
3. To provide inventory management with stock status, inventory valuation and automatic low-stock alerts where current stock ≤ minimum stock.
4. To forecast product demand for the next three months and recommend stock levels, shortages and overstock.
5. To detect unusual expenses with a statistical method and explain why each one is unusual.
6. To compute a deterministic Financial Health Score out of 100 and explain every point.
7. To generate prioritised business recommendations from the analytics.
8. To provide a professional, responsive interface for staff and a customer panel for placing orders.

3. Review of Existing Approaches

SMEs currently use one or more of the following approaches. Table 1 compares them with the proposed system on the features this project targets.

Table 1: Comparison of existing approaches with the proposed system

Feature	Manual registers / spreadsheets	Stand-alone accounting software	Proposed system
Single view of sales, expenses and stock	No	Partly (accounts only)	Yes
Profit and cash flow computed automatically	Manual formulas	Yes	Yes, monthly with trend charts
Low-stock alerts	No	Sometimes (separate module)	Yes, with days of cover
Demand forecast and recommended stock	No	Rarely	Yes (trend × seasonal index)
Unusual-expense detection	No	No	Yes (robust Z-score + spikes)
Overall health score with explanation	No	No	Yes (5 factors × 20 points)
Plain-language recommended actions	No	No	Yes (rule engine)
Cost for a small business	Low, but labour-intensive	Licence cost	Open-source stack

The gap identified is not the lack of data but the lack of interpretation: existing tools record transactions but leave analysis to the owner. The proposed system focuses on turning the same records into explanations and actions.

4. Requirements Specification

4.1 Functional Requirements

Table 2: Functional requirements

ID	Requirement
FR1	Staff shall sign in with email and password; customers shall register and sign in separately.
FR2	The dashboard shall show total revenue, total expenses, net profit, net cash flow, inventory value, low-stock count, sales growth and the Financial Health Score.
FR3	Staff shall add, filter (category, month, text, unusual only), delete and export expenses.
FR4	The system shall compute monthly revenue, COGS, gross profit, operating expenses, net profit, margin and growth.
FR5	The system shall compute monthly cash inflow, outflow, net cash flow and cumulative cash, and project the next three months.
FR6	Staff shall view and filter all products with SKU, category, stock, minimum stock, prices, value, sales, supplier and status; add products and receive stock.
FR7	The system shall list products with current stock ≤ minimum stock, and out-of-stock and overstocked products separately.
FR8	The system shall show top-selling, slow-moving and rising products and category performance.
FR9	The system shall forecast three months of demand per product with recommended stock, shortage and overstock.
FR10	The system shall flag unusual expenses with the reason and severity.
FR11	The system shall compute the Financial Health Score and explain each factor.
FR12	The system shall generate prioritised recommendations from the analytics.
FR13	Customers shall browse products, manage a cart, place orders and track them; staff shall update order status, and cancelling shall return stock.

4.2 Non-Functional Requirements

- **Accuracy and determinism:** every figure is calculated from database rows; the same data always produces the same score, forecast and recommendations.
- **Availability for demonstration:** if MySQL is not running, the application switches automatically to a local SQLite database with the same data.
- **Performance:** all analytics are computed once and cached until the data changes (a version counter is incremented on every write).
- **Security:** passwords are stored as salted PBKDF2-SHA256 hashes; staff and customer sessions are separate; all SQL uses parameterised queries.
- **Usability:** responsive layout, Indian number formatting (lakh / crore), status badges, filters and CSV export; Chart.js is bundled locally so the application works offline.

4.3 Hardware and Software Requirements

Table 3: Software and hardware used

Item	Specification
Operating system	Windows 10/11 or Linux
Language / framework	Python 3.10+, Flask 3, Jinja2 templates

Item	Specification
Database	MySQL 8 (administered with MySQL Workbench); SQLite fallback
Libraries	scikit-learn, NumPy, mysql-connector-python, python-dotenv, Werkzeug
Front end	HTML5, CSS3, JavaScript, Chart.js 4
Hardware	Any PC with 4 GB RAM; modern web browser

5. Proposed System and Architecture

The proposed system is a single web application with two user-facing parts — a **staff dashboard** with thirteen pages and a **customer panel** — sharing one backend and one database. It follows a three-tier architecture (Figure 1).

- **Presentation tier:** server-rendered Jinja2 pages styled with a custom CSS theme; Chart.js draws all charts in the browser.
- **Application tier:** Flask routes in app.py handle authentication, validation, page rendering and CSV export. The analytics and AI engine in analytics.py computes all metrics, forecasts, anomalies, the health score and recommendations.
- **Data tier:** db.py connects to MySQL, creates and seeds the database on first run, and falls back to SQLite when MySQL is unavailable.

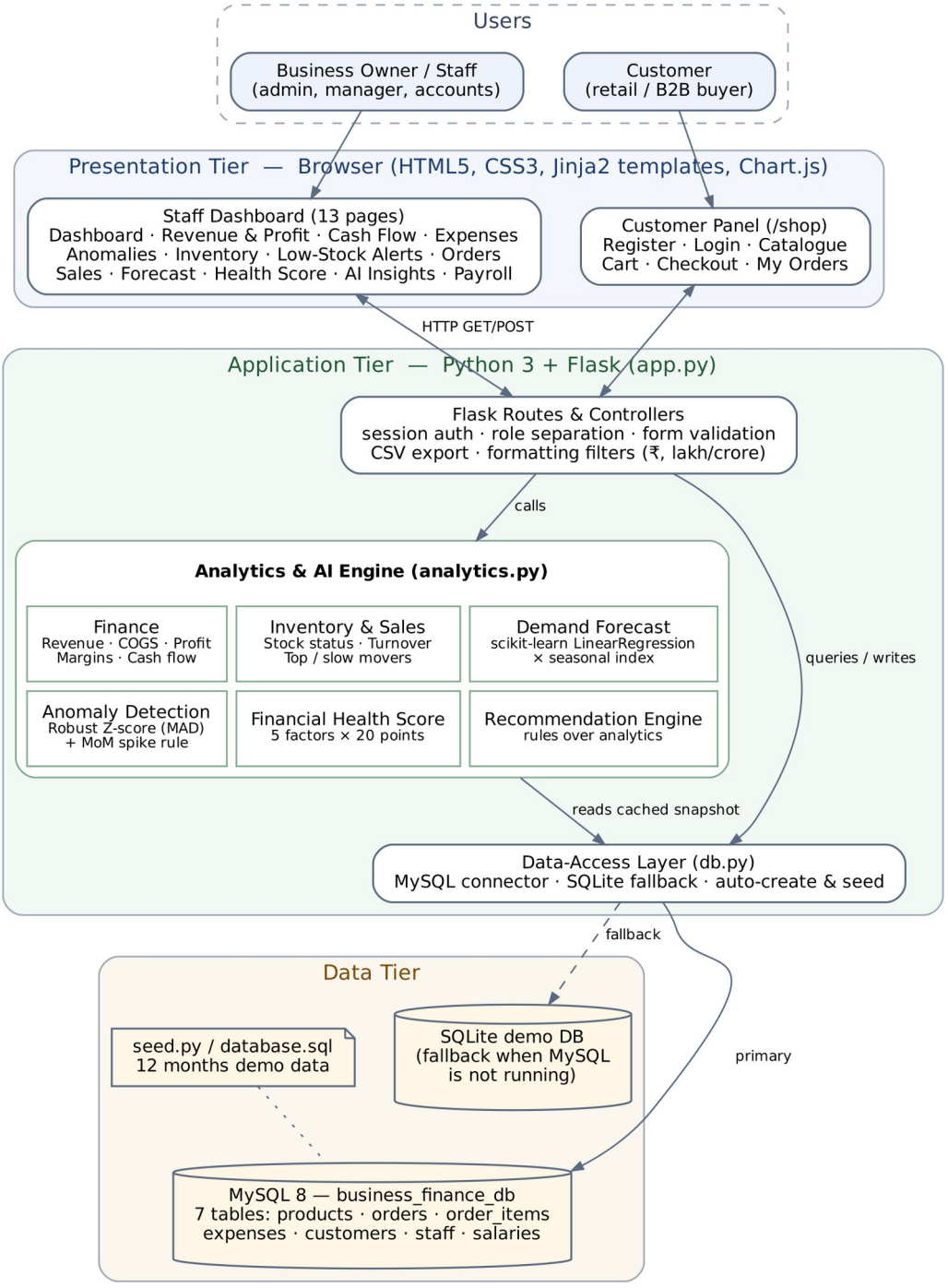


Figure 1: System Architecture

Figure 2 shows the deployment view: the browser communicates with the Flask server on port 5000, which connects to the MySQL server on port 3306. MySQL Workbench is used to administer and inspect the database.

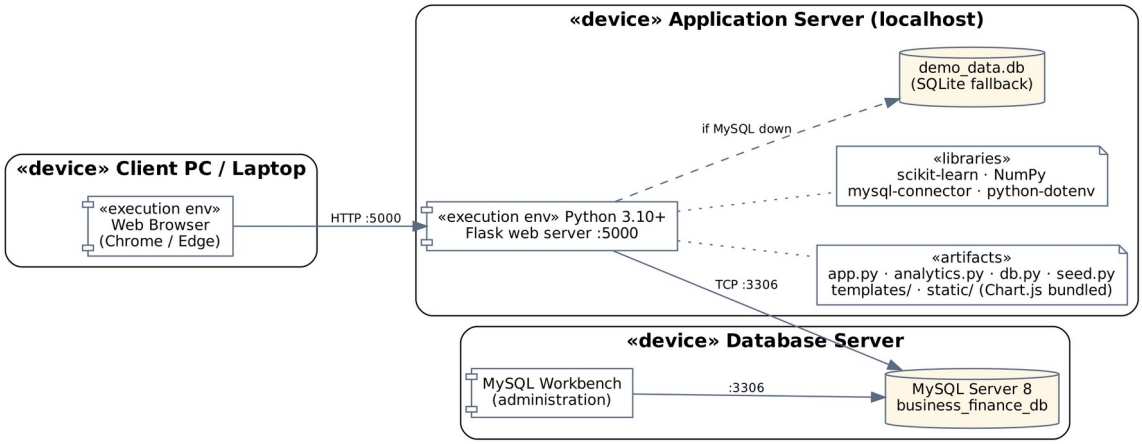


Figure 2: Deployment Diagram

6. System Design (UML Diagrams)

6.1 Use Case Diagram

The system has two actors. The **Staff / Admin** actor uses the finance, inventory, sales and AI features and manages customer orders. The **Customer** actor registers, browses products, manages a cart, places orders and tracks them. Placing an order includes managing the cart, and reviewing anomalies extends expense management.

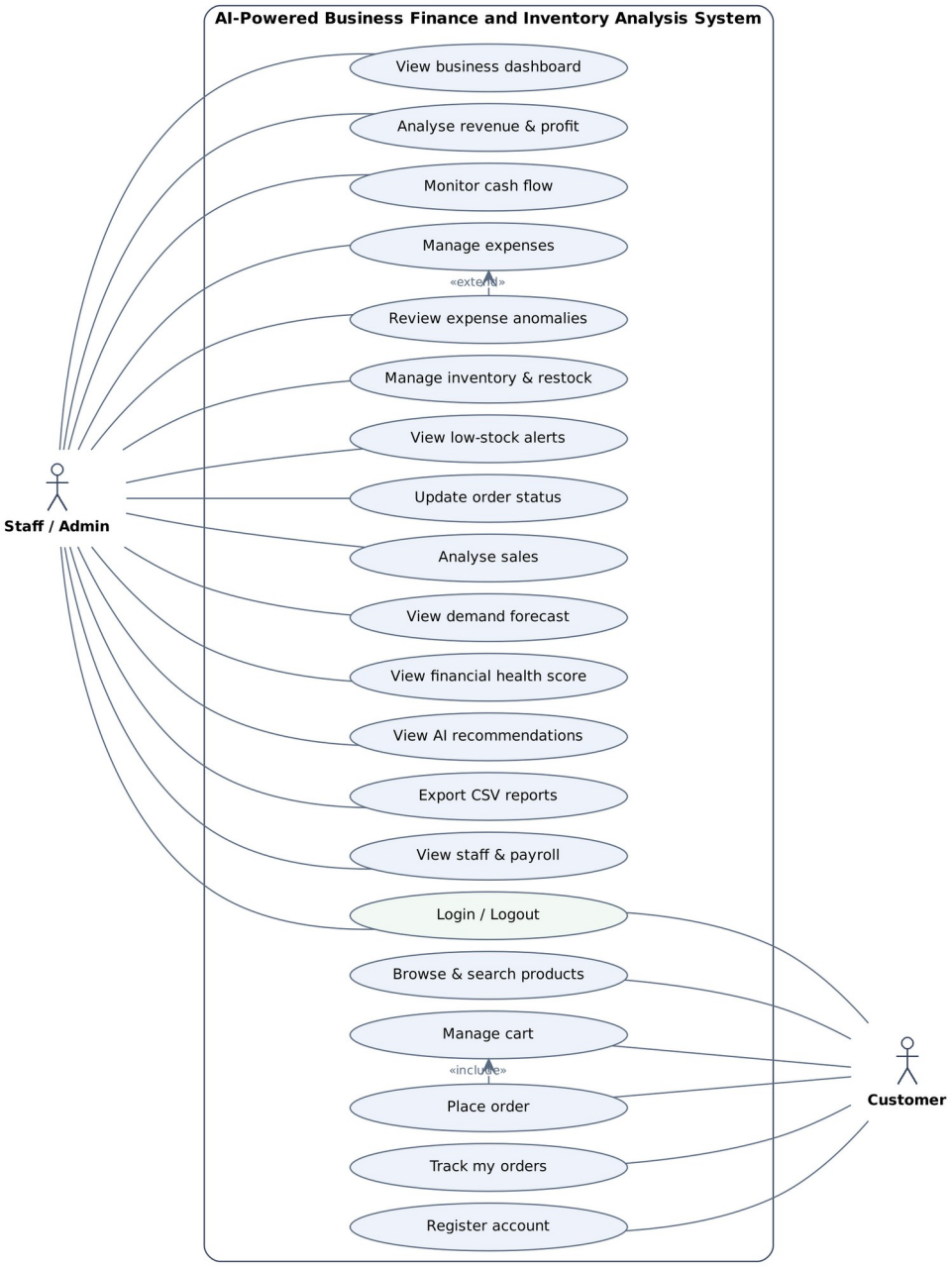


Figure 3: Use Case Diagram

6.2 Class Diagram

Figure 4 shows the main software components and the domain entities. FlaskApp uses the AnalyticsEngine and the DB data-access class; the engine loads a cached snapshot through DB;

Seed generates demo data for an empty database. A Customer places Orders, each Order is composed of one or more OrderItems, and each OrderItem refers to a Product.

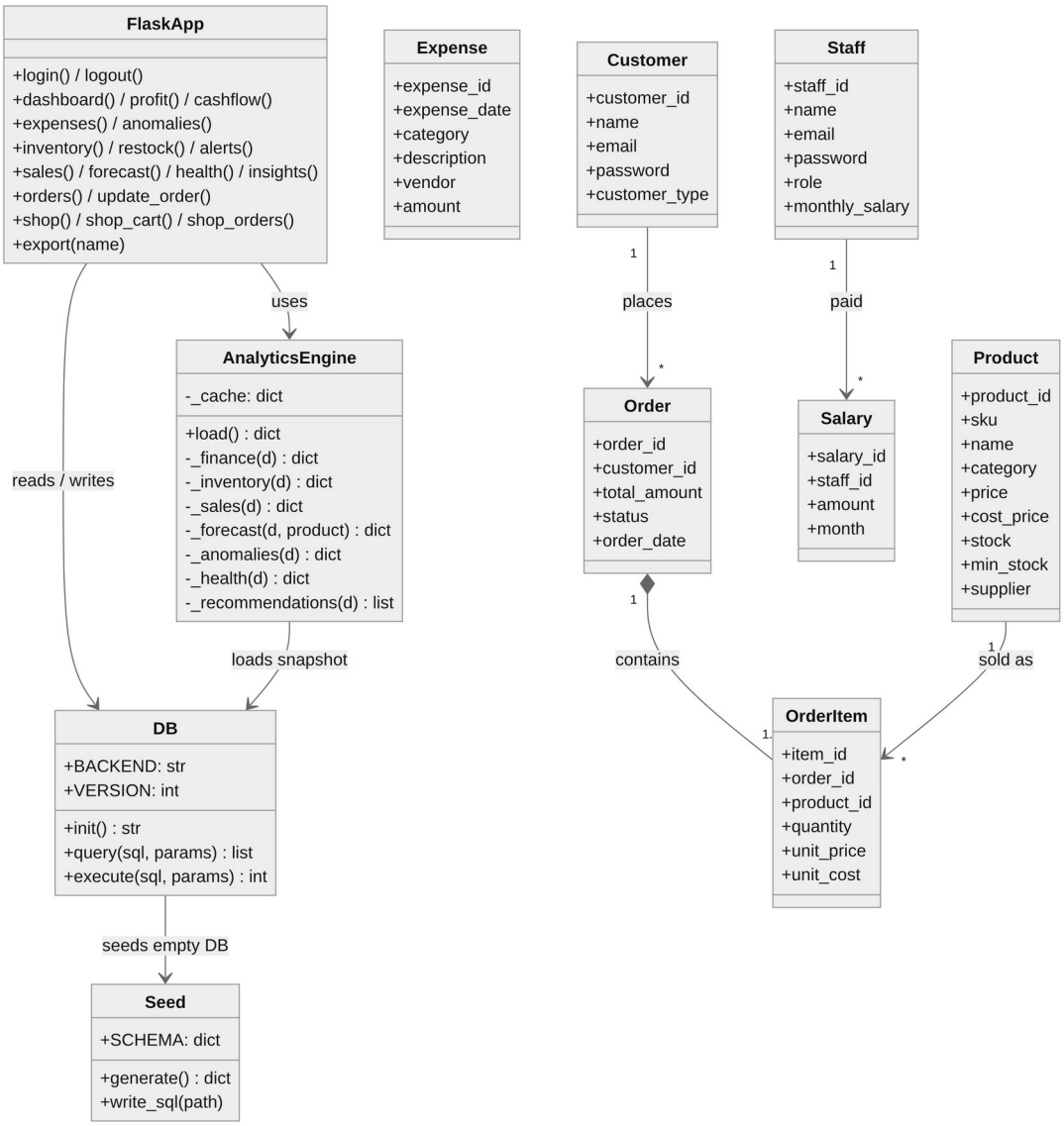


Figure 4: Class Diagram

6.3 Sequence Diagrams

Figure 5 shows the customer placing an order. Stock is checked when a product is added to the cart and again at checkout; the order, its items and the stock reduction are written, and the next time staff open the alerts page the analytics snapshot is reloaded because the data version has changed.

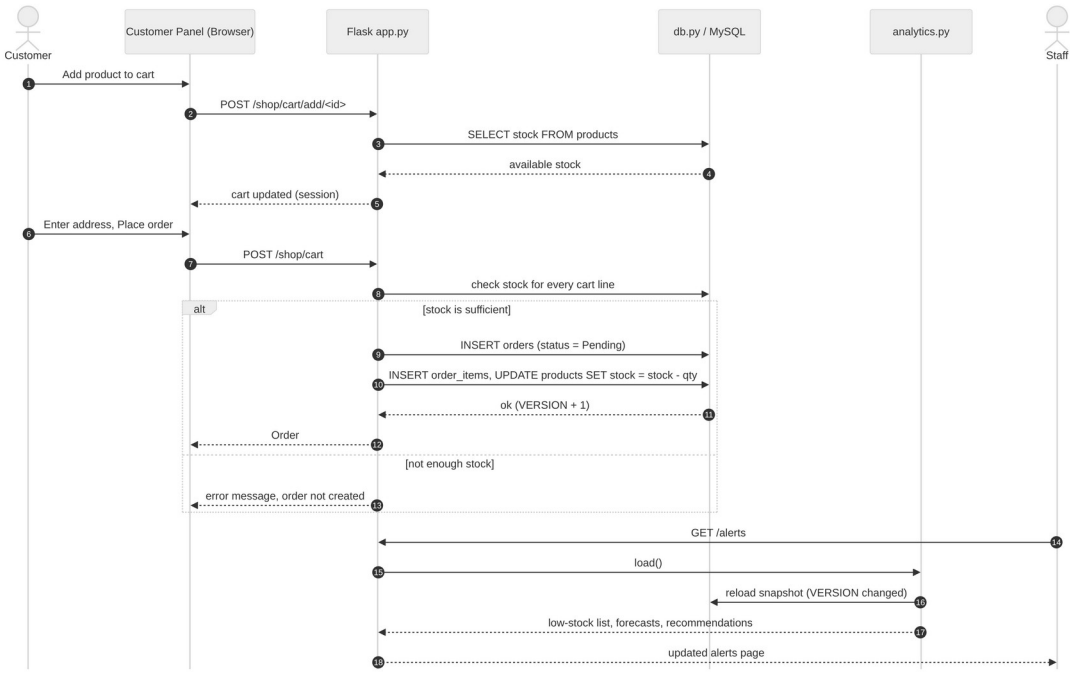


Figure 5: Sequence Diagram — Customer Places an Order

Figure 6 shows a staff member adding an expense. After the insert, the analytics engine recomputes finance, inventory, sales, forecasts, anomalies, the health score and recommendations, so the new expense is immediately checked for unusual amounts.

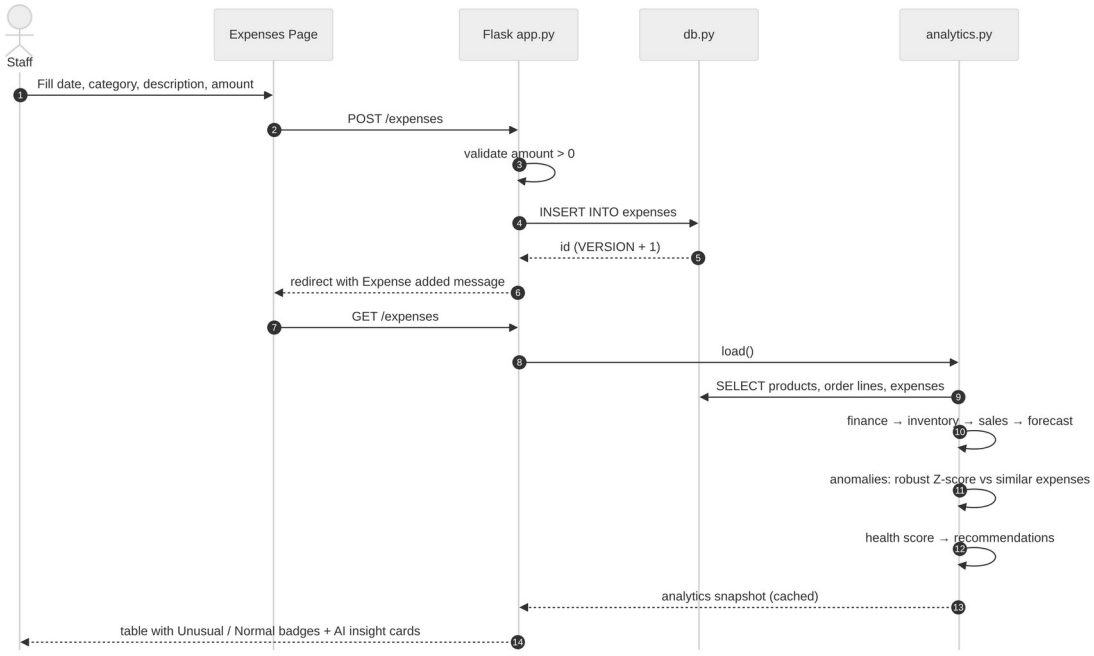


Figure 6: Sequence Diagram — Add Expense and Anomaly Check

6.4 Activity Diagrams

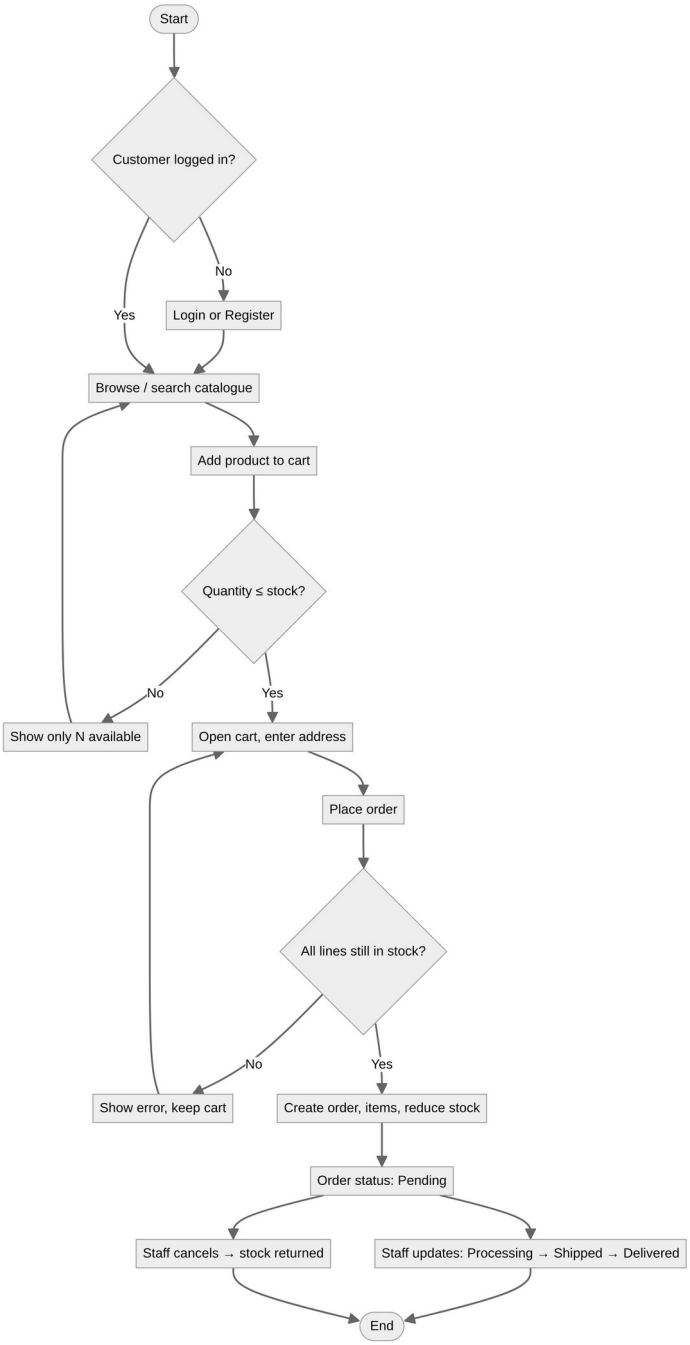


Figure 7: Activity Diagram — Order Processing

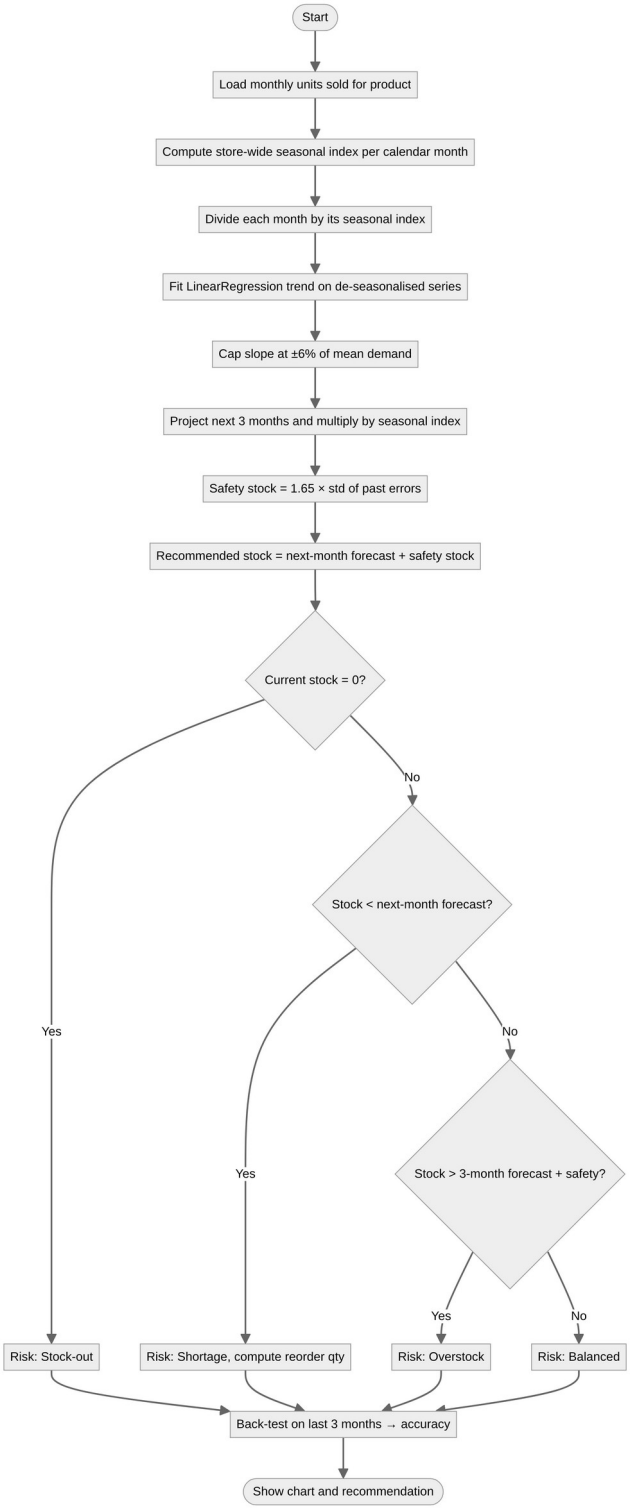


Figure 8: Activity Diagram — Demand Forecast and Stock Recommendation

6.5 Data Flow Diagram (Level 1)

Figure 9 shows the five main processes, their data stores and the two external entities.

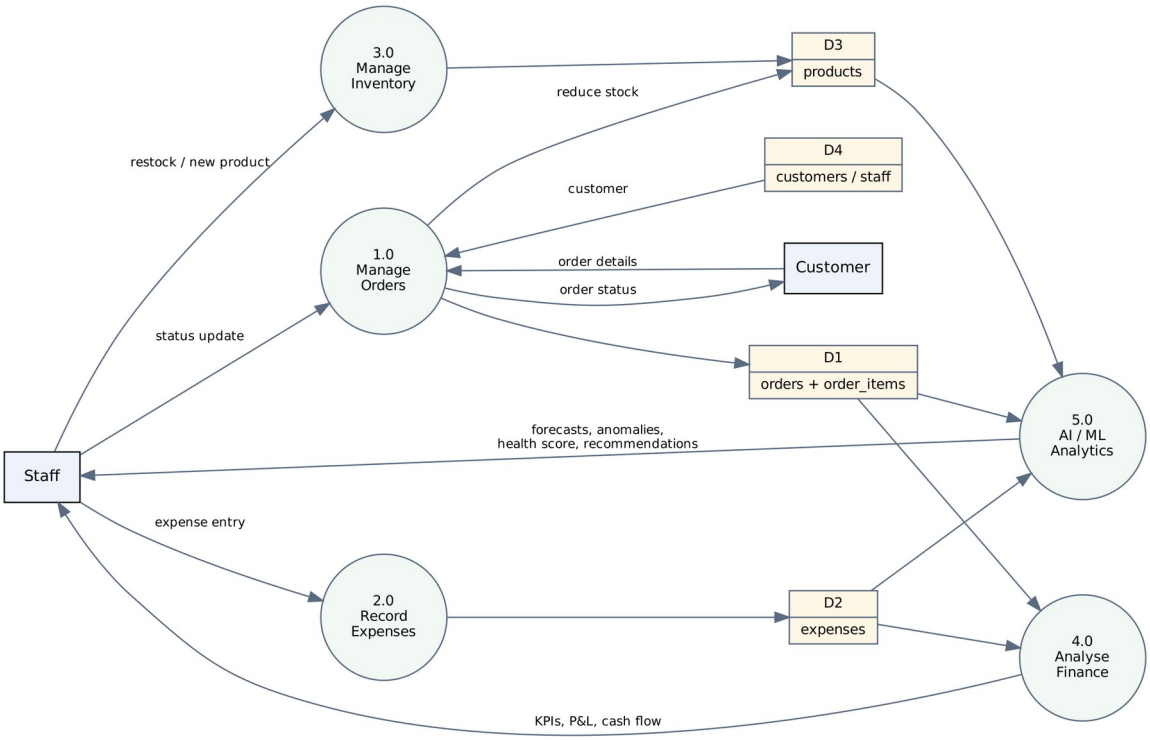


Figure 9: Data Flow Diagram — Level 1

6.6 Entity–Relationship Diagram

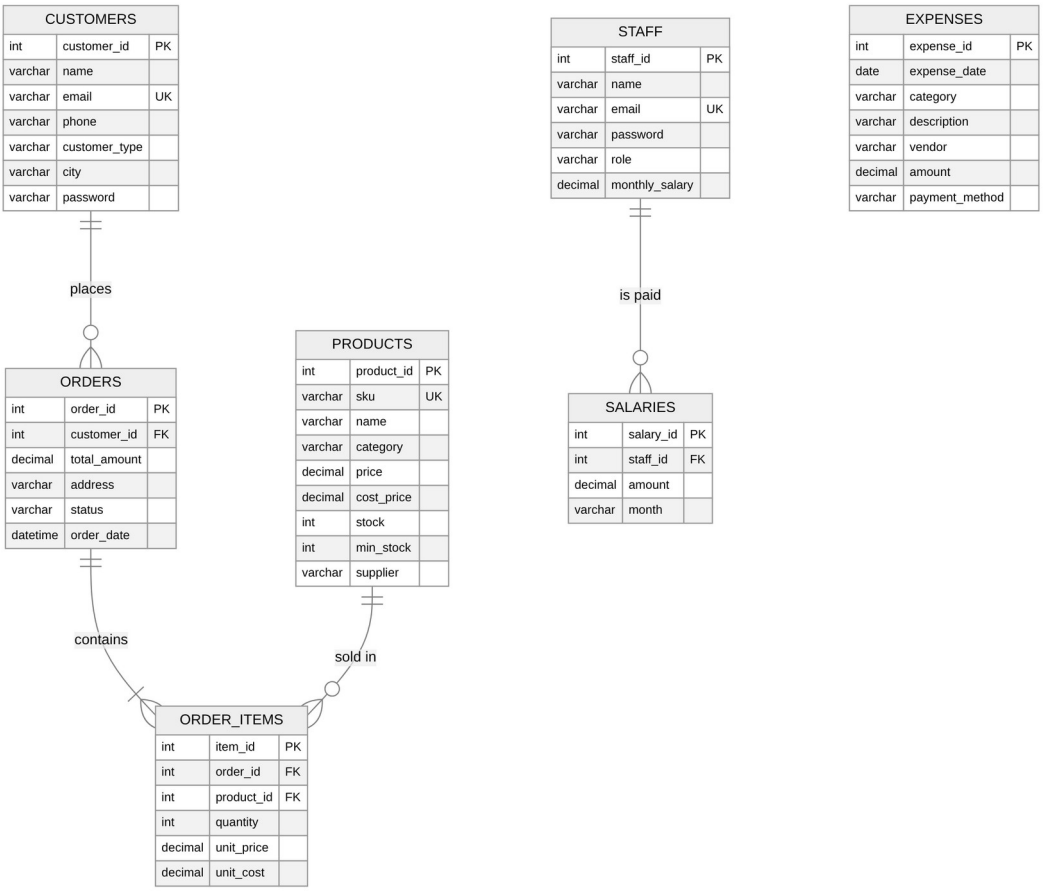


Figure 10: Entity–Relationship Diagram

7. Database Design and Dataset

7.1 Tables

The database business_finance_db contains seven tables in third normal form. Order items store the unit cost at the time of sale so that historical profit does not change when a product's cost price is updated later.

Table 4: Database tables

Table	Key columns	Purpose
products	product_id (PK), sku (UK), price, cost_price, stock, min_stock, supplier	Product master and current stock
customers	customer_id (PK), email (UK), customer_type, password	Retail and B2B customers; customer-panel login
orders	order_id (PK), customer_id (FK), total_amount, status, order_date	Sales orders: Pending → Processing → Shipped → Delivered / Cancelled
order_items	item_id (PK), order_id (FK), product_id (FK), quantity, unit_price, unit_cost	Order lines; source of revenue and COGS
expenses	expense_id (PK), expense_date, category, description, vendor, amount	All money paid out, in 8 categories
staff	staff_id (PK), email (UK), password, role, monthly_salary	Staff accounts for the dashboard
salaries	salary_id (PK), staff_id (FK), amount, month	Monthly payroll history

7.2 Demo Dataset

Because a real business's books could not be used, a deterministic generator (seed.py, fixed random seed 42) creates twelve months of data. The same file writes database.sql for import into MySQL Workbench. The data intentionally contains festive-season peaks, growing and declining products, low-stock, out-of-stock and overstocked items, and four planted unusual expenses so that every feature has meaningful examples.

Table 5: Summary of the demo dataset

Property	Value	Property	Value
Period	Oct 2025 – Sep 2026	Products	24 in 8 categories
Sales orders	4,828 (4,736 not cancelled)	Order lines	9,448
Expenses	253 in 8 categories	Customers / staff	20 (6 B2B) / 6
Total revenue	₹2,07,41,820	Units sold	15,244
Average order value	₹4,380	Inventory value (cost)	₹14,45,460

Table 6: Expense categories

Category	Examples in the data
Rent	Shop and warehouse rent
Salaries	Monthly payroll for 6 employees
Utilities	Electricity, internet and phone, water

Category	Examples in the data
Marketing	Social-media ads, search ads, flyers, festive campaign
Inventory Purchase	Stock replenishment purchase orders
Transportation	Courier and inbound freight
Operations	Software subscriptions, maintenance, packaging
Miscellaneous	Stationery, refreshments, penalties

8. Analytics and AI Methodology

8.1 Finance Metrics

Table 7: Finance formulas used

Metric	Formula
Revenue	Σ quantity × unit_price over non-cancelled orders
Cost of goods sold (COGS)	Σ quantity × unit_cost over non-cancelled orders
Gross profit / gross margin	Revenue − COGS; Gross profit ÷ Revenue × 100
Operating expenses	All expenses except Inventory Purchase
Net profit / net margin	Gross profit − Operating expenses; Net profit ÷ Revenue × 100
Cash inflow / outflow	Sales receipts; all expenses including stock purchases
Net cash flow	Inflow − Outflow (can be negative in a profitable month when stock is bought ahead)
Sales growth	Last 3 months' revenue vs the previous 3 months
Inventory turnover	Annual COGS ÷ inventory value at cost

Stock status uses the average daily demand of the last three months: **Out of Stock** when stock = 0, **Low Stock** when stock ≤ minimum stock, **Overstock** when stock covers more than 120 days, otherwise **In Stock**. A month that has only just started (less than 25% of a typical month's revenue) is shown separately as "in progress" so that a few new orders do not distort growth and forecasts.

8.2 Demand Forecasting

For each product the monthly units sold are divided by a store-wide seasonal index (each month's total units divided by the overall linear trend). A linear trend is fitted to the de-seasonalised series with scikit-learn's LinearRegression, the slope is limited to ±6% of average demand per month so that one unusual month cannot dominate, the trend is projected three months ahead and multiplied by the seasonal index of each target month.

- **Safety stock** = ⌈1.65 × standard deviation of the model's past errors⌉ (about a 95% service level).
- **Recommended stock** = next month's forecast + safety stock; **reorder quantity** = recommended stock − current stock.
- **Shortage** when stock < next month's forecast; **overstock** when stock > three months' forecast + safety stock.
- **Accuracy** is a back-test: the model is trained without the last three months, predicts them, and accuracy = 100% − weighted absolute percentage error.

8.3 Expense Anomaly Detection

Each operating expense is compared with similar expenses — those with the same description when at least six exist, otherwise the whole category. A robust Z-score is used because the mean and standard deviation are themselves distorted by the outliers being searched for:

z = (amount − median) ÷ (1.4826 × MAD), where MAD is the median absolute deviation.

An expense is flagged when z ≥ 3.5 **and** it is at least 1.5 times the typical (median) amount; it is High severity at 3 times or more, otherwise Medium. Separately, a category is flagged for a month when its total rose more than 30% over the previous month and is more than 30% above its typical month. Stock purchases are excluded because they follow sales volume.

8.4 Financial Health Score

Table 8: Financial Health Score factors (20 points each)

Factor	Measured value	Scoring rule
Profitability	Net profit margin	0 at break-even, full marks at 15% or more
Expense Control	Operating expenses ÷ revenue	Full marks at 20% or less, 0 at 40%
Cash Flow	Share of cash-positive months; last-3-month net cash ÷ inflow	10 points each; full at all months positive and at 10% of inflow
Revenue Growth	Last 3 months vs previous 3	0 at −10%, 10 at 0%, full at +10%
Inventory Efficiency	Turnover; share of products at healthy stock	10 points each; full at 8× a year and at 90% healthy

Each factor is scaled linearly between its zero and full-marks points and clipped. The total is graded Excellent (80+), Good (65–79), Fair (50–64) or Needs Attention (below 50). No random or hand-set values are used.

8.5 AI Recommendation Engine

The recommendation engine applies rules to the outputs above and ranks the results High, Medium or Low. Each recommendation quotes the figures that triggered it and links to the page with the details.

Table 9: Recommendation rules

Area	Rule (trigger)	Recommended action
Inventory	Product out of stock	Raise a purchase order for the recommended quantity with the supplier
Inventory	Stock lasts less than 30 days against the forecast	Reorder to reach the recommended stock
Inventory	Stock above 3 months of forecast demand	Pause reorders; clearance or bundle offer
Sales	Units up ≥ 10% (last 3 months vs previous 3)	Increase stock cover and promotion
Sales	Units down ≥ 10%	Review pricing or discount before reordering
Expenses	Category spike in the latest month; unusual expenses found	Verify approval and return on the spend
Expenses	Operating costs growing faster than revenue	Set category budgets
Cash flow	Latest month cash-negative / improved	Stagger supplier payments; keep one month’s buffer
Profit	Net margin moved by ≥ 1 point	Review the largest expense changes

9. Implementation and Modules

The application consists of four Python files and twenty-two Jinja2 templates. The table below lists the modules, and the figures that follow show the running system.

Table 10: Application modules

Module	Route	Main content
Business Dashboard	/	8 KPI cards, 7 charts, top AI insights
Revenue & Profit	/profit	Stacked revenue split, margin trend, growth, P&L table
Cash Flow	/cashflow	Inflow vs outflow, net cash, cumulative cash with projection, decision notes
Expenses	/expenses	Add / filter / delete, category charts, unusual-expense insight, CSV
Expense Anomalies	/anomalies	Flagged expenses with reason and severity, category spikes
Inventory	/inventory	Product table, value by category, status, add product, receive stock
Low Stock Alerts	/alerts	Out-of-stock, low-stock and overstock cards with restock
Customer Orders	/orders	Order list by status, status update, cancellation returns stock
Sales Analytics	/sales	Top / slow / rising products, categories, product demand
Demand Forecast	/forecast	Actual vs predicted chart, recommendation table
Financial Health	/health-score	Score, factor breakdown and explanation
AI Recommendations	/insights	Prioritised recommendation cards with filters
Customer Panel	/shop	Register, login, catalogue, cart, checkout, my orders

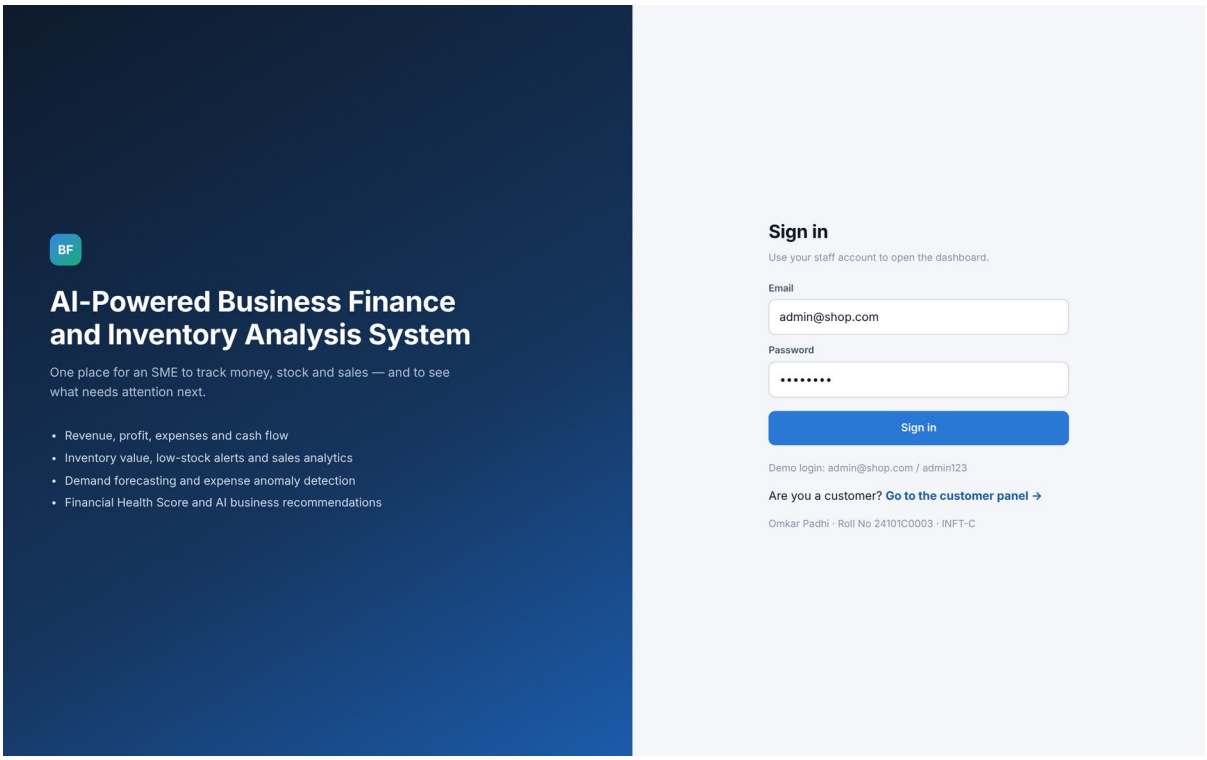


Figure 11: Staff Sign-in Page

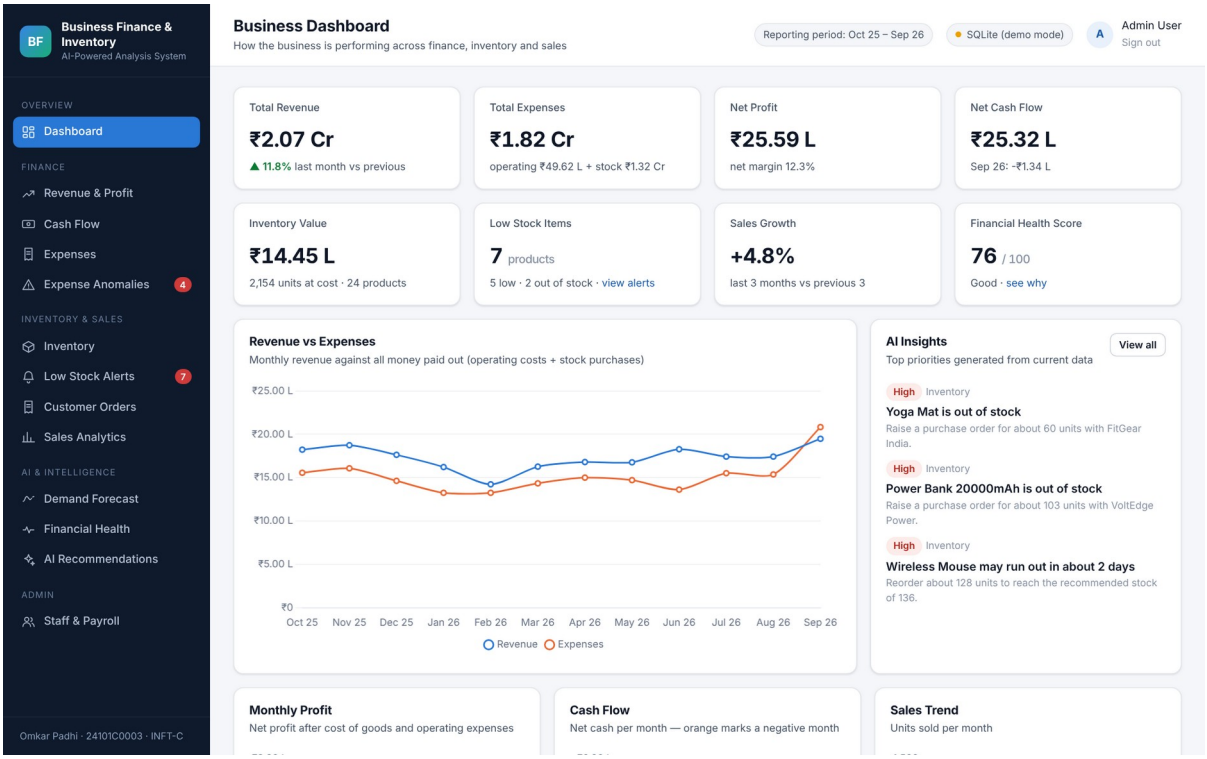


Figure 12: Business Dashboard

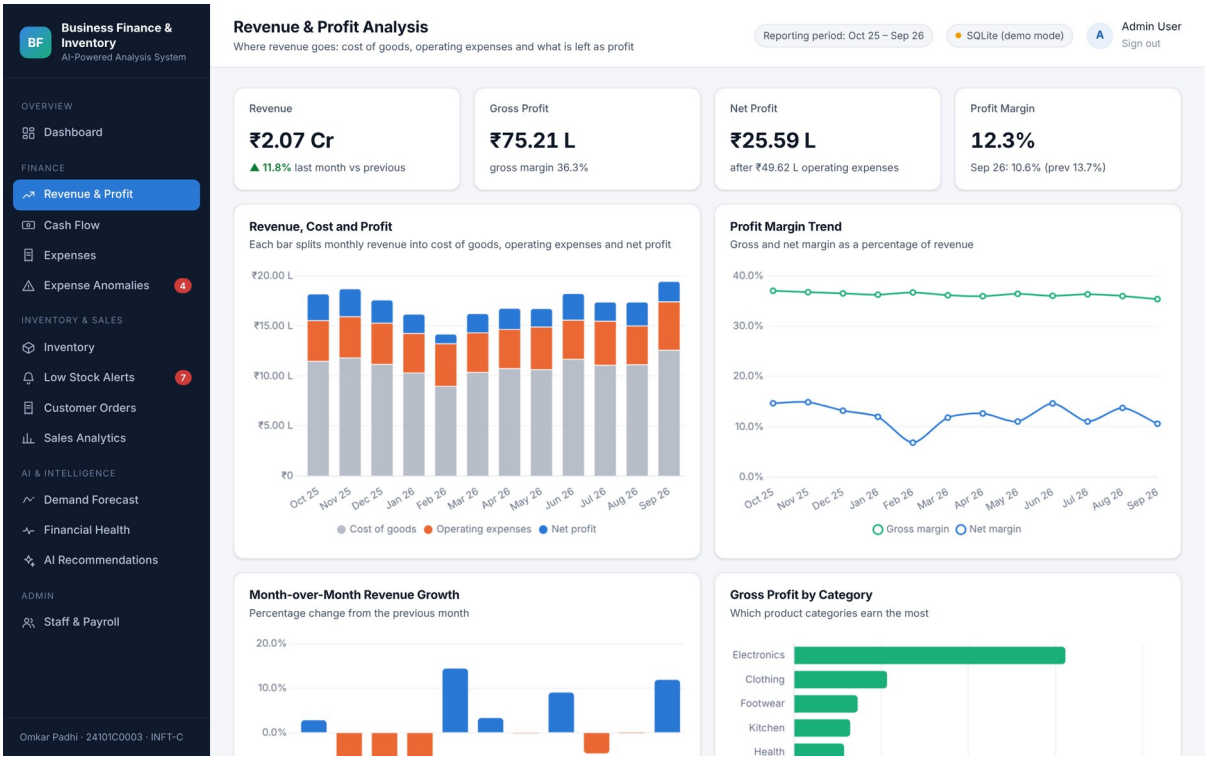


Figure 13: Revenue and Profit Analysis

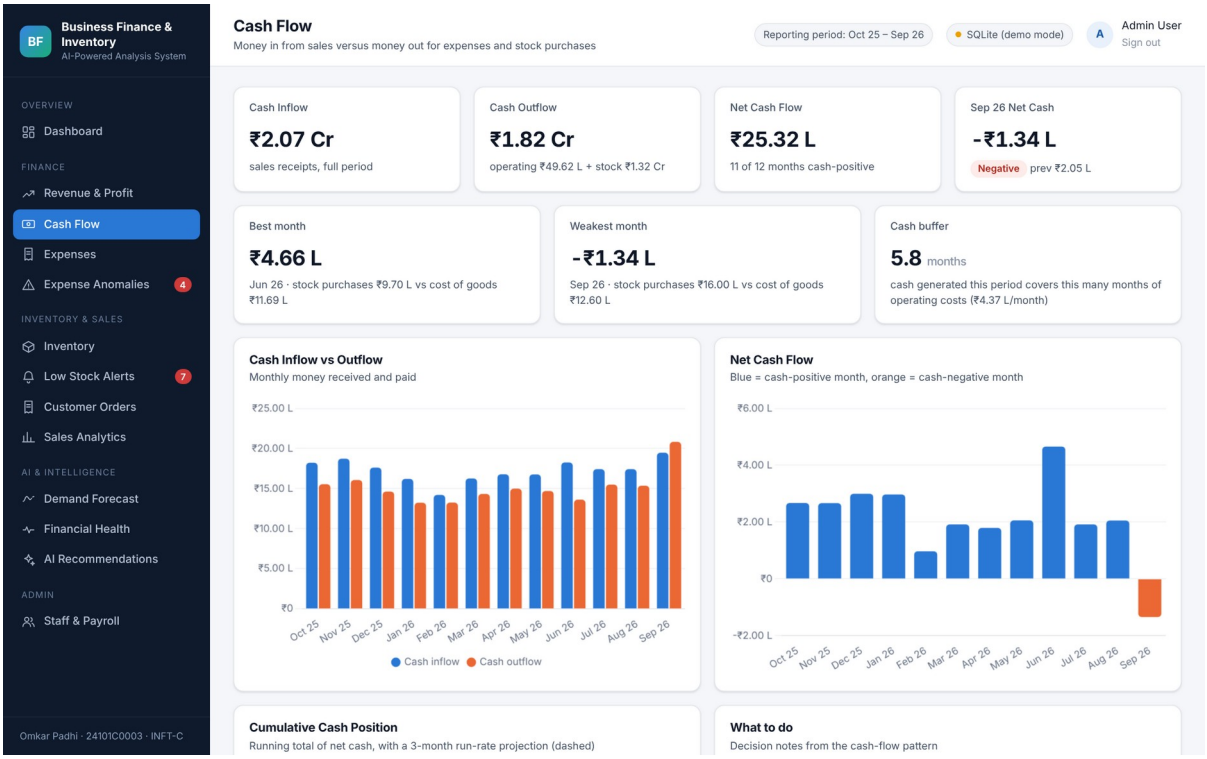


Figure 14: Cash Flow

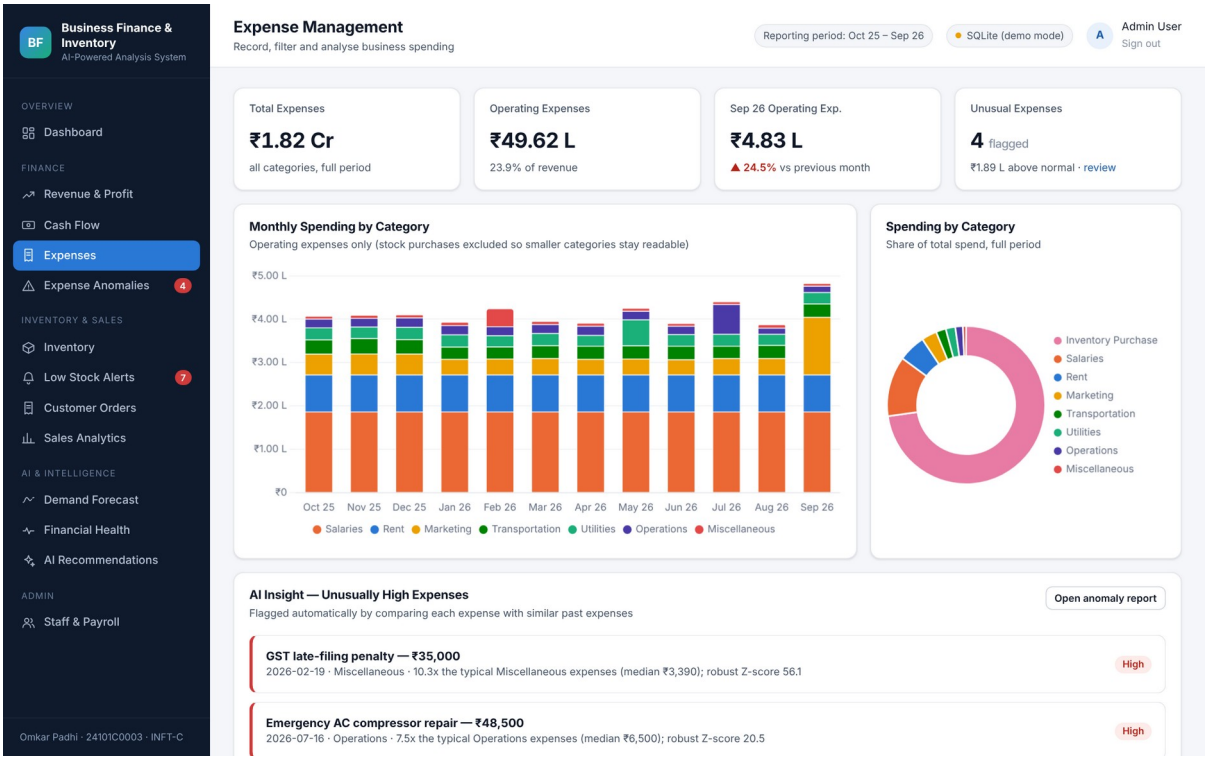


Figure 15: Expense Management

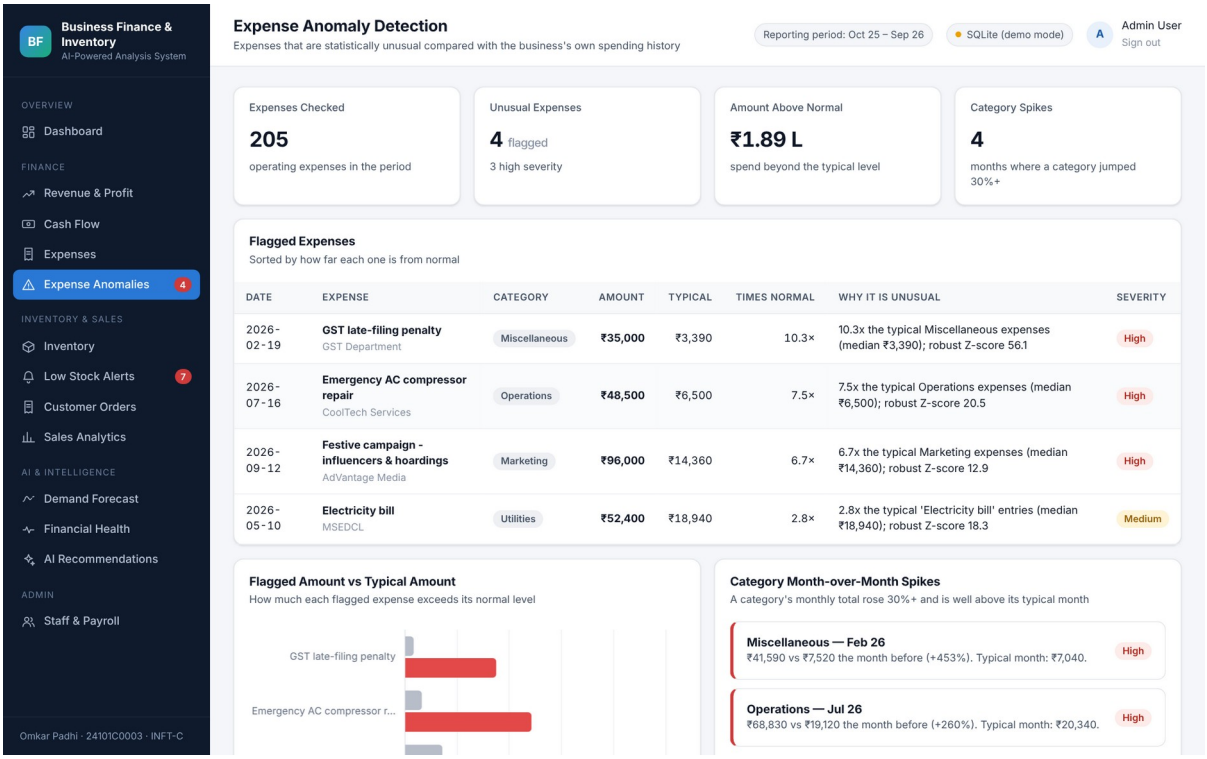


Figure 16: Expense Anomaly Detection

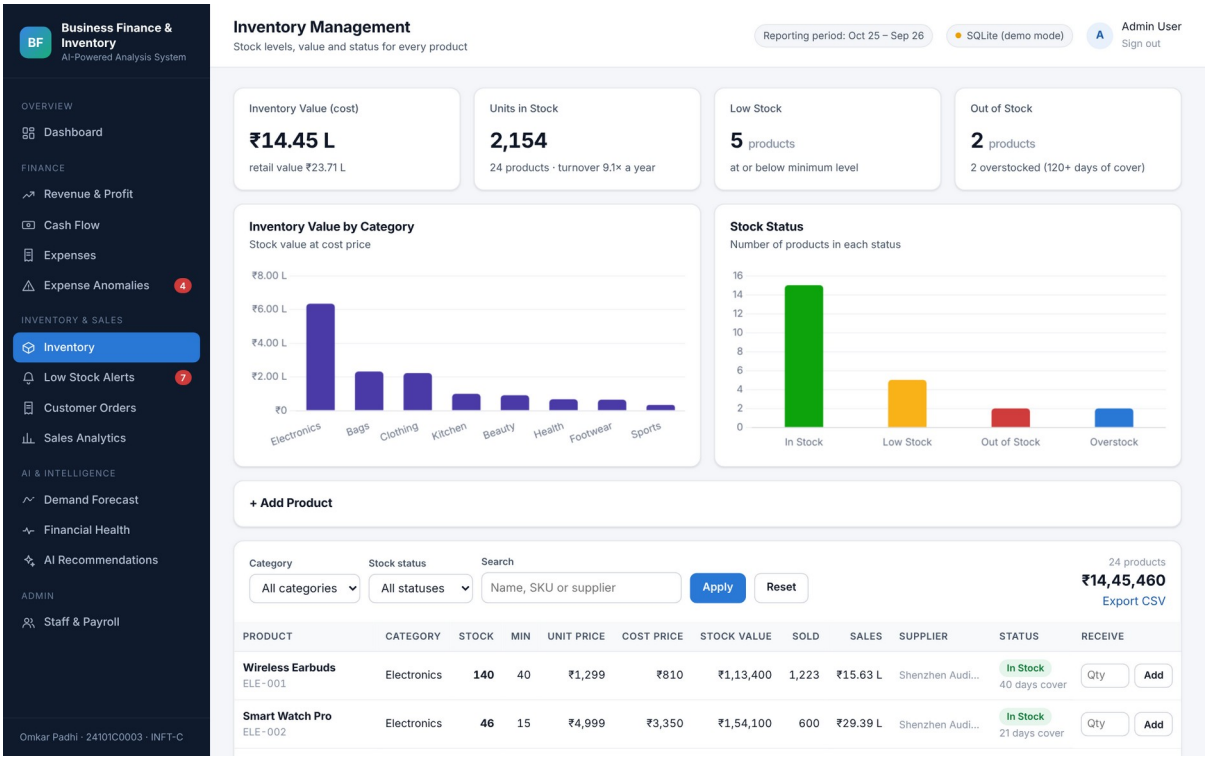


Figure 17: Inventory Management

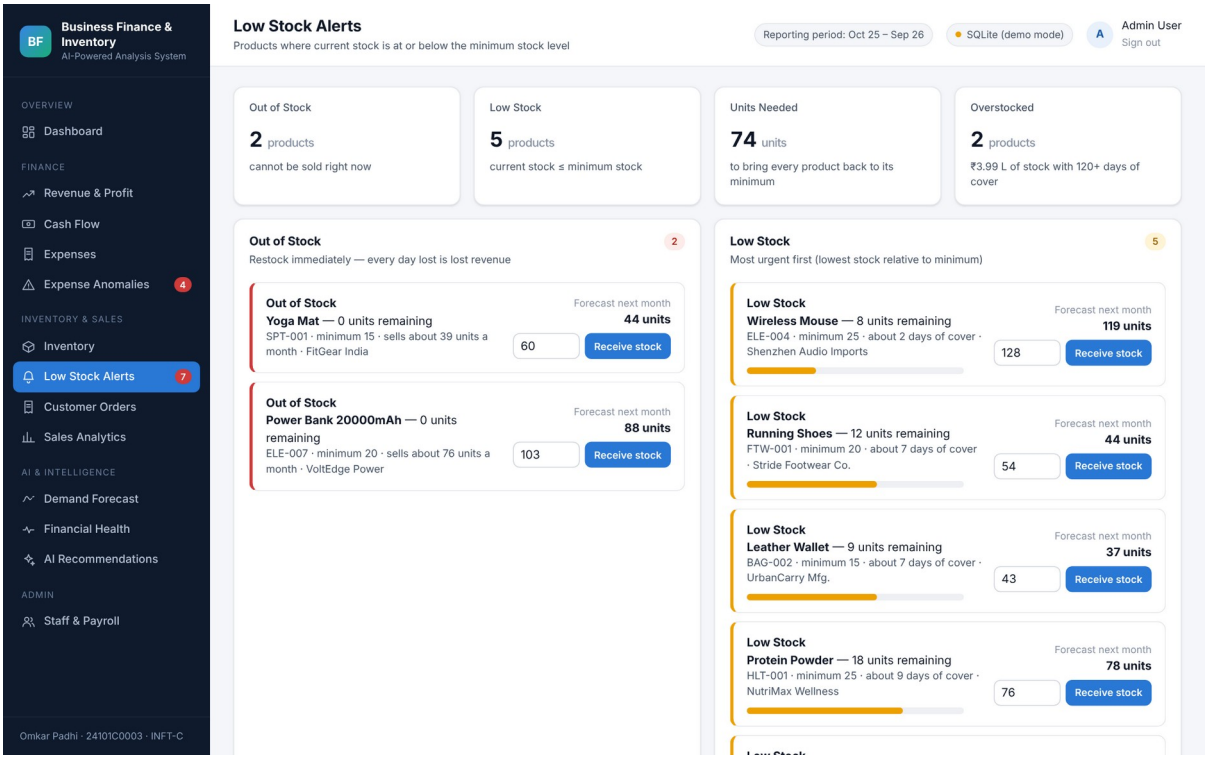


Figure 18: Low Stock Alerts

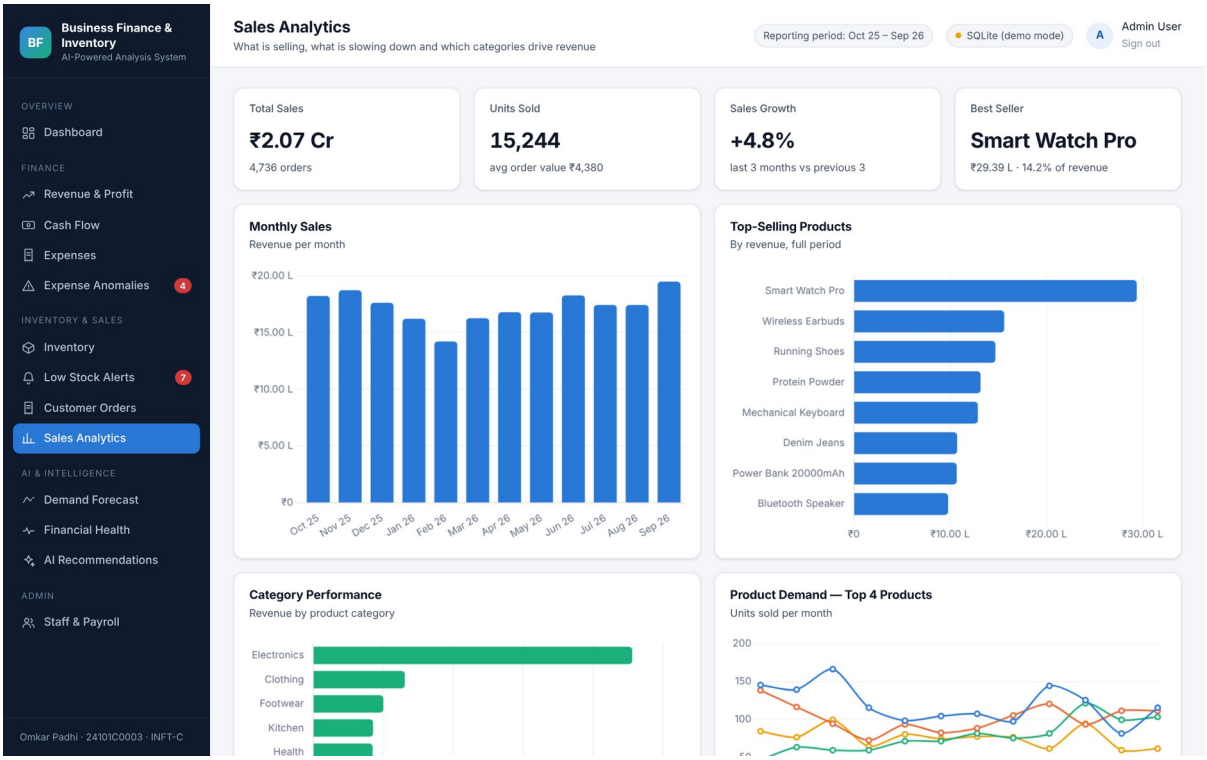


Figure 19: Sales Analytics

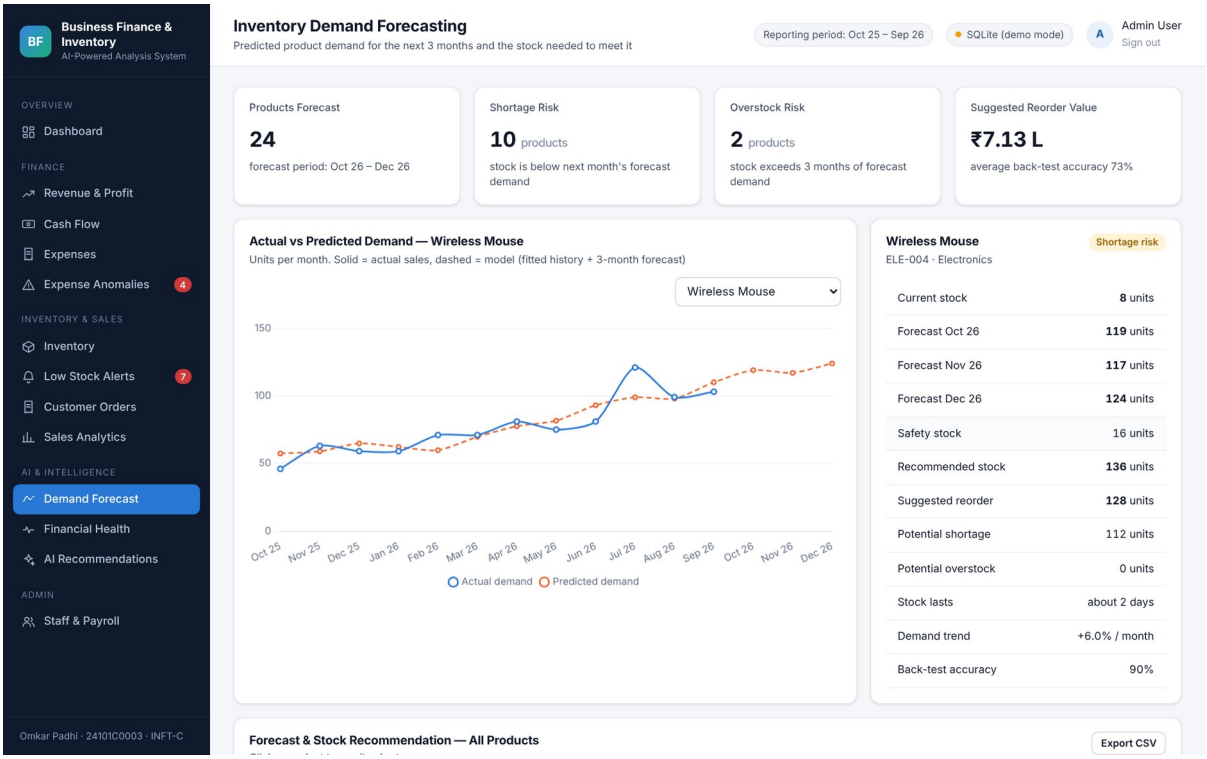


Figure 20: Demand Forecast — Actual vs Predicted (Wireless Mouse)

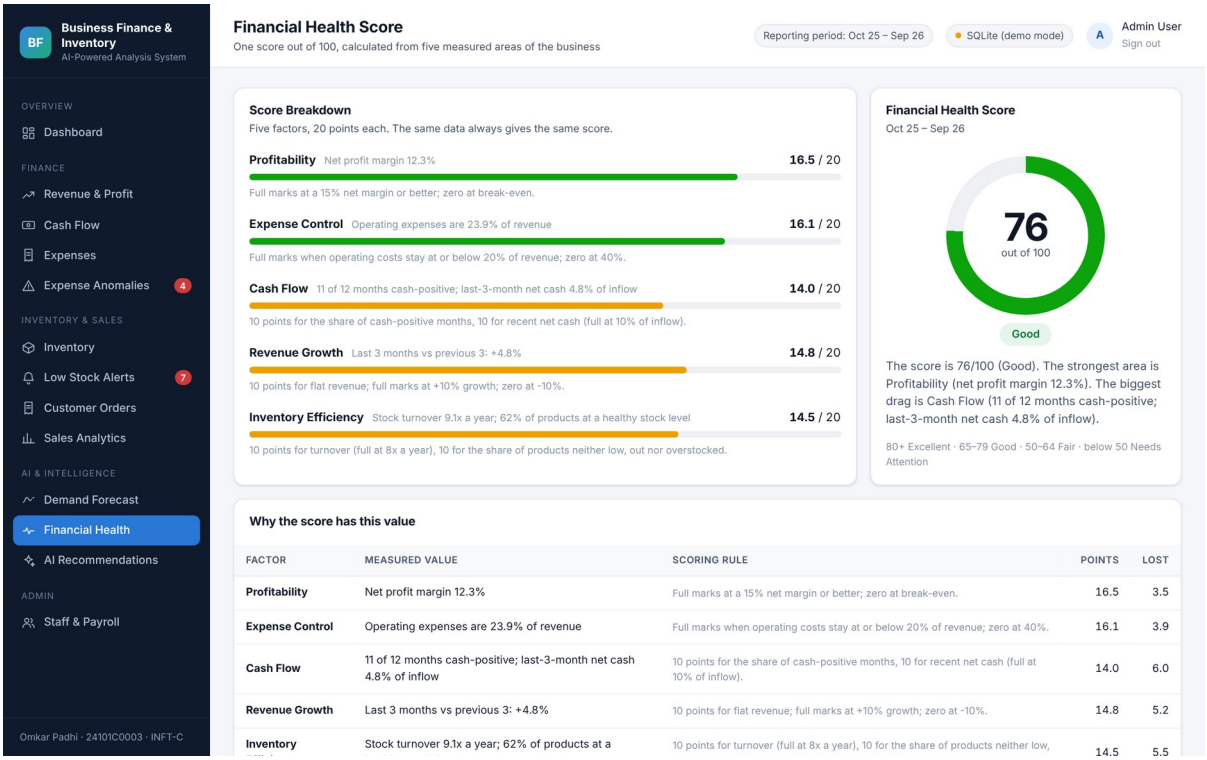


Figure 21: Financial Health Score

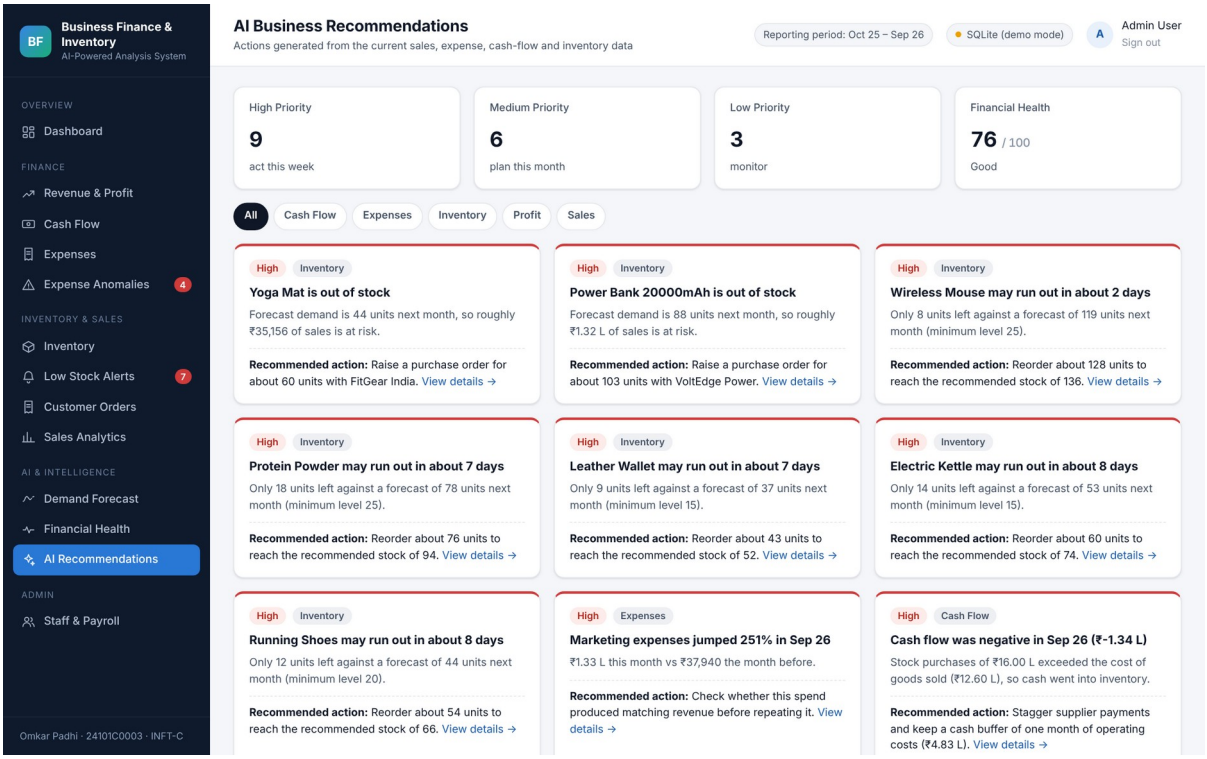


Figure 22: AI Business Recommendations

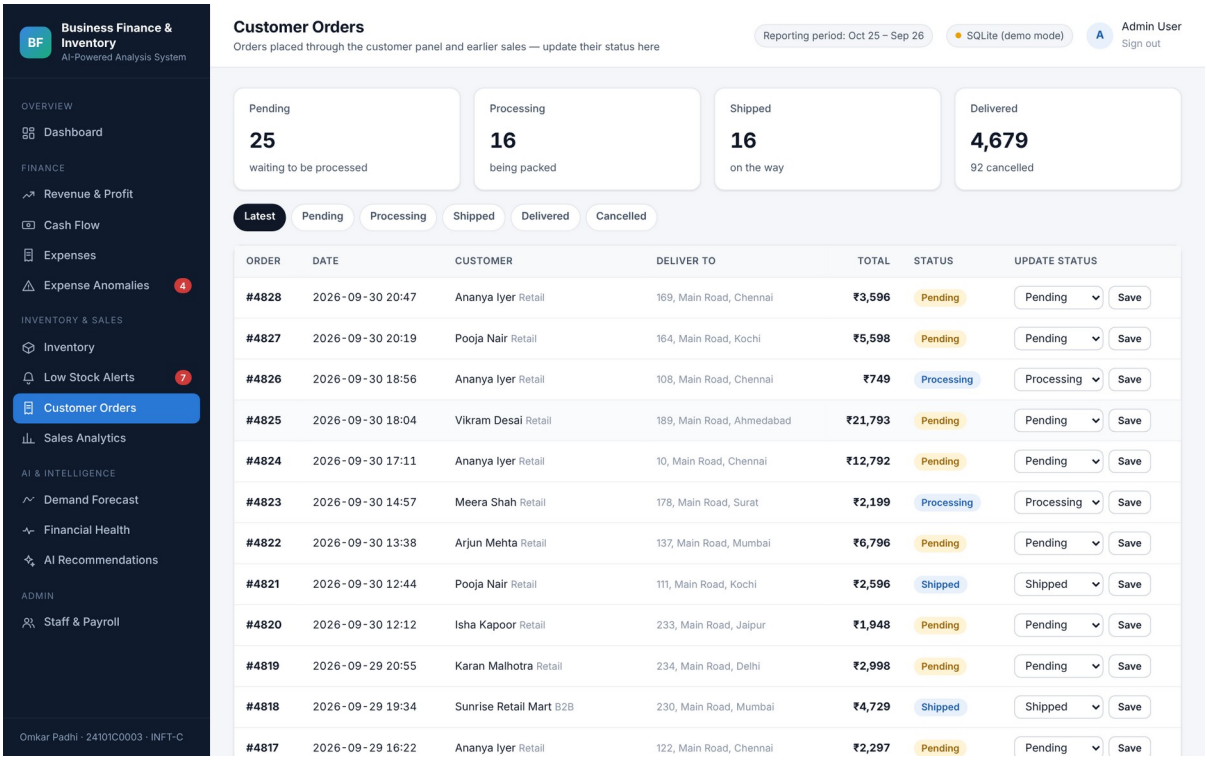


Figure 23: Customer Orders (Staff View)

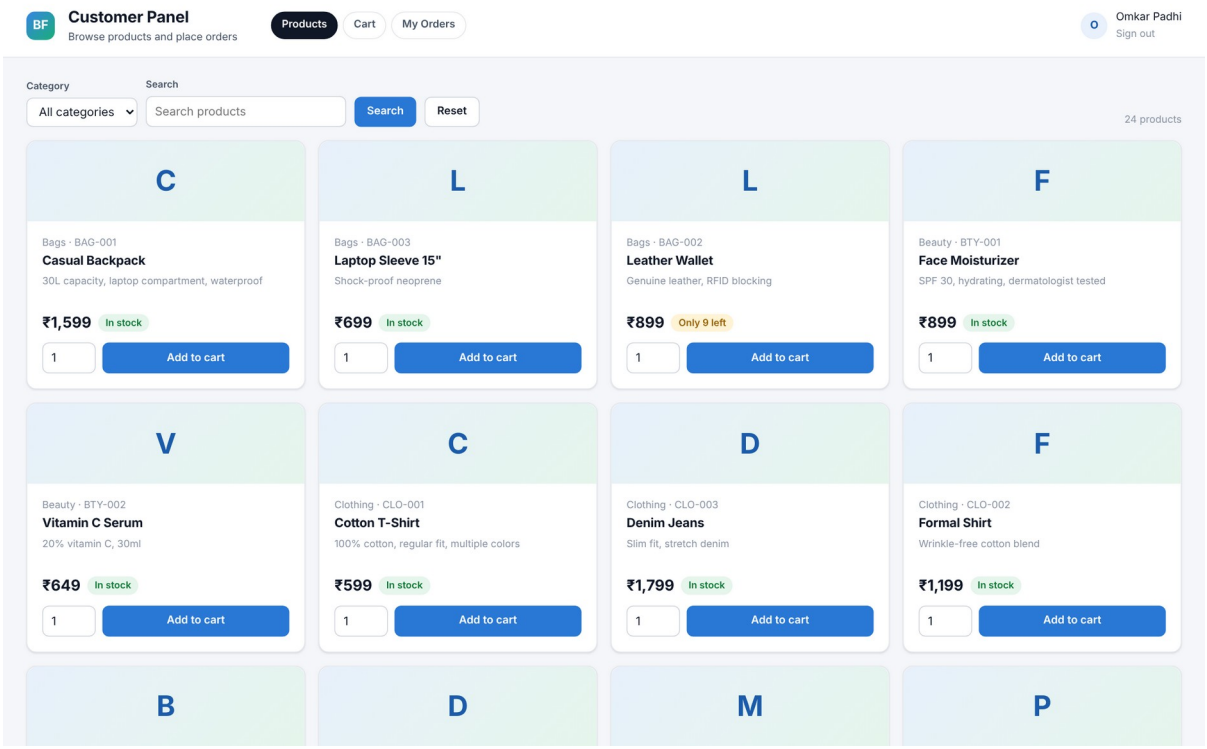


Figure 24: Customer Panel — Product Catalogue

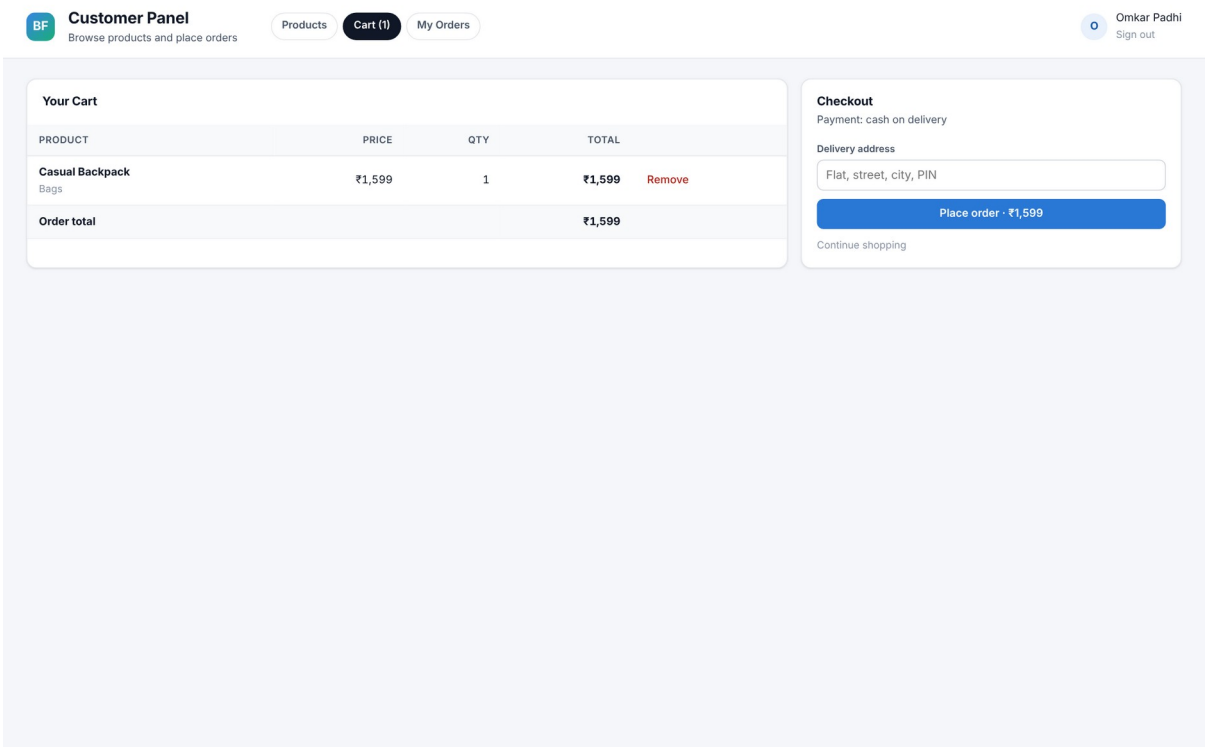


Figure 25: Customer Panel — Cart and Checkout

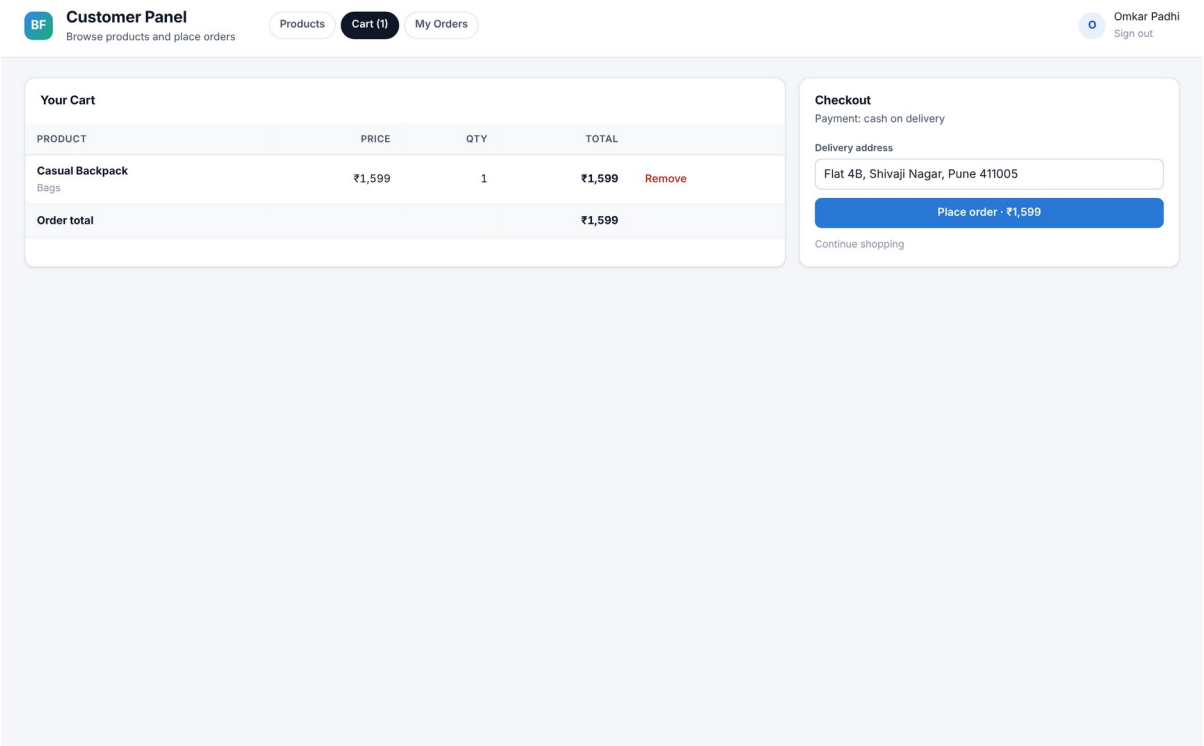


Figure 26: Customer Panel — My Orders

10. Testing

Automated end-to-end tests were written with Flask's test client and run against both the MySQL path (MariaDB server) and the SQLite fallback; the user interface was additionally checked in a headless Chromium browser for JavaScript errors.

Table 11: Test cases

#	Test case	Expected result	Result
1	Open a staff page without signing in	Redirect to the sign-in page	Pass
2	Staff sign-in with a wrong password	"Invalid email or password"	Pass
3	Open all 13 staff pages and 4 CSV exports	HTTP 200 for every page	Pass
4	Add an expense of ₹2,50,000 in Marketing	Saved; flagged on the anomaly page	Pass
5	Delete that expense	Removed from the anomaly list	Pass
6	Receive 5 units of stock	Stock increases by 5	Pass
7	Add a product with a new SKU	Product added	Pass
8	Customer adds an out-of-stock product	"That product is out of stock"	Pass
9	Customer places an order for 2 units	Order created, stock reduced by 2	Pass
10	Register a new customer	Account created and signed in	Pass
11	Staff cancels the order	Status Cancelled, 2 units returned to stock	Pass
12	New order in a new month	Shown as "in progress"; trend months unchanged	Pass
13	Import database.sql into MySQL	4,828 orders, 9,448 lines, 253 expenses	Pass
14	Start with MySQL stopped	Falls back to SQLite with the same data	Pass
15	Upgrade an older database without the customer password column	Column added automatically	Pass

11. Results and Discussion

11.1 Financial Results

Table 12: Monthly profit and cash flow (₹)

Month	Revenue	COGS	Operating exp.	Net profit	Margin	Net cash flow
Oct 25	18,22,742	11,48,250	4,07,429	2,67,063	14.7%	2,67,113
Nov 25	18,73,102	11,84,770	4,09,789	2,78,543	14.9%	2,66,613
Dec 25	17,62,292	11,19,420	4,10,689	2,32,183	13.2%	2,99,303
Jan 26	16,21,289	10,33,910	3,93,659	1,93,720	11.9%	2,97,130
Feb 26	14,21,903	9,00,190	4,24,969	96,744	6.8%	96,734
Mar 26	16,25,855	10,38,450	3,95,579	1,91,826	11.8%	1,91,776
Apr 26	16,78,891	10,75,650	3,91,559	2,11,682	12.6%	1,79,532
May 26	16,76,400	10,66,300	4,25,739	1,84,361	11.0%	2,05,761
Jun 26	18,27,013	11,69,160	3,90,989	2,66,864	14.6%	4,65,624
Jul 26	17,42,123	11,09,470	4,40,929	1,91,724	11.0%	1,91,694
Aug 26	17,42,086	11,15,390	3,87,839	2,38,857	13.7%	2,05,447
Sep 26	19,48,124	12,59,590	4,82,899	2,05,635	10.6%	−1,34,375
Total	**2,07,41,820**	**1,32,20,550**	**49,62,068**	**25,59,202**	**12.3%**	**25,32,352**

The business is profitable in every month, with a gross margin of 36.3% and a net margin of 12.3%. September 2026 shows the most important insight of the system: net profit was ₹2.06 lakh, but net cash flow was **−₹1.34 lakh** because stock purchases of ₹16.00 lakh were made ahead of the festive season. A profit-only report would hide this cash shortfall.

11.2 Inventory and Forecast Results

Of the 24 products, 15 are In Stock, 5 Low Stock, 2 Out of Stock (Yoga Mat, Power Bank 20000mAh) and 2 Overstocked (Desk Lamp LED, Laptop Sleeve 15″). Inventory turnover is 9.1 times a year. The forecast marks 10 products at shortage risk and 2 at overstock risk, with a suggested reorder value of ₹7.13 lakh. The average back-test accuracy is 73% (range 31% to 90%); products with steady demand such as Wireless Mouse (90%) forecast well, while products with sharply falling demand such as Desk Lamp LED and Laptop Sleeve forecast poorly.

11.3 Anomaly Detection Results

Table 13: Unusual expenses detected

Expense	Amount	Typical	Robust z	Severity
GST late-filing penalty (Feb 26)	₹35,000	₹3,390	56.1	High
Emergency AC compressor repair (Jul 26)	₹48,500	₹6,500	20.5	High
Festive campaign – influencers & hoardings (Sep 26)	₹96,000	₹14,360	12.9	High
Electricity bill (May 26)	₹52,400	₹18,940	18.3	Medium

All four expenses planted in the data were detected and no regular expense was flagged. The category-spike rule additionally flags the same four months (Miscellaneous in February, Utilities in May, Operations in July and Marketing in September).

11.4 Financial Health Score

Table 14: Financial Health Score on the demo data

Factor	Measured value	Points
Profitability	Net margin 12.3%	16.5 / 20
Expense Control	Operating expenses 23.9% of revenue	16.1 / 20
Cash Flow	11 of 12 months positive; last-3-month net cash 4.8% of inflow	14.0 / 20
Revenue Growth	+4.8% (last 3 months vs previous 3)	14.8 / 20
Inventory Efficiency	Turnover 9.1×; 62% of products at healthy stock	14.5 / 20
Total		**76 / 100 (Good)**

The engine produced 18 recommendations on this data (9 High, 6 Medium, 3 Low), for example: “Wireless Mouse may run out in about 2 days — only 8 units left against a forecast of 119 units next month; reorder about 128 units.”

11.5 Limitations

- The results are obtained on synthetic demo data generated by the project; they demonstrate the methods but are not measurements of a real business.
- The seasonal index is estimated from a single year of history, so forecasts should be treated as planning estimates; accuracy is low for products whose demand is falling sharply.
- The recommendation engine is rule-based; it does not learn from which recommendations the owner accepted.
- There is a single staff role level: every staff account sees all pages. Payment is cash on delivery only, and the system runs on a single machine.

12. Conclusion and Future Scope

12.1 Conclusion

The project transformed a basic e-commerce storefront into a working business-intelligence platform for SMEs. Sales, expenses and inventory are stored in one MySQL database and analysed together, so the owner can see profit, cash flow, stock risk and unusual spending on one dashboard. The forecasting, anomaly detection, health score and recommendation features are computed from the data with transparent, explainable rules and formulas, and every page was tested end to end on both the MySQL and SQLite back ends. The most useful result is the link between profit and cash: the system shows when a profitable month is still cash-negative and why.

12.2 Future Scope

- Role-based access for different staff roles (for example, sales staff limited to inventory and orders).
- Import of real bills and bank statements (CSV / Excel) and GST-ready reports.
- Forecasting with more history and more advanced models (for example, Prophet or gradient boosting) with weekly granularity.
- Automatic purchase-order generation and supplier lead-time tracking.
- Email or WhatsApp alerts for stock-outs and unusual expenses; online payments in the customer panel.
- Cloud deployment with HTTPS and scheduled database backups.

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